

CORPORATE GOVERNANCE AND INTERNATIONAL ETHICS

THREE LAYERS OF ETHICAL → ARC INTEGRATION TEST → CORPORATE GOVERNANCE CONTROL CHAIN → CSR STATUTORY ARCHITECTURE → UNSPENT AND IMPACT CHRONOLOGY → STAKEHOLDER AND SHAREHOLDER TEST

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

PRIMARY CORE FLOW SUBORDINATE EXTRA APPROVAL / REVIEW

Approval: FALSE • Pending user review • source generation g2 and all prior artifacts unchanged

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles

00

STAGE 00

THREE LAYERS OF ETHICAL ENTERPRISE

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CENTRAL FOCUS

1. THREE LAYERS OF ETHICAL ENTERPRISE

[1] ETHICS IN BUSINESS

[2] EVERYDAY COMMERCIAL MEANS

[3] CORPORATE GOVERNANCE

[4] BOARD, AUDIT AND DISCLOSURE

[5] CORE-OPERATION INTEGRITY

CORE CLAIM

- CENTRAL FOCUS
- 1. Three layers of ethical enterprise
- [1] Ethics in business
- [2] Everyday commercial means
- [3] Corporate governance

MECHANISM

- [4] Board, audit and disclosure
- [5] Core-operation integrity
- [6] Safe and fair production
- [7] Statutory CSR spend
- [8] No moral offset

CONSEQUENCE / LIMIT

- VERDICT → Governance, core conduct and CSR are complementary but never interchangeable.
- ANSWER USE → Use to open CSR or corporate-governance answers.
- MUST REMEMBER: Corporate ethics joins fiduciary duty, stakeholder impacts, worker and...

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: VERDICT → Governance, core conduct and CSR are complementary but never interchangeable.

01

STAGE 01

ARC INTEGRATION TEST

ARC INTEGRATION TEST

CENTRAL FOCUS

2. ARC INTEGRATION TEST

[1] REJECT ETHICS AS PUBLIC RELATIONS

[2] TEST PRICING AND PROCUREMENT

[3] TEST LABOUR AND PRODUCT SAFETY

[4] TEST ACCOUNTING AND DISCLOSURE

[5] GIVE ETHICS BOARD ACCESS

CENTRAL FOCUS

CORE CLAIM

- CENTRAL FOCUS
- 2. ARC integration test
- [1] Reject ethics as public relations
- [2] Test pricing and procurement

MECHANISM

- [3] Test labour and product safety
- [4] Test accounting and disclosure
- [5] Give ethics board access
- [6] Align incentives with integrity

CONSEQUENCE / LIMIT

- [7] Protect internal challenge
- [8] Audit real outcomes
- VERDICT → Ethics must govern profit-making decisions, not decorate them afterward.
- ANSWER USE → Use for the ARC ethics-in-business distinction.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: VERDICT → Ethics must govern profit-making decisions, not decorate them afterward.

02

STAGE 02

CORPORATE GOVERNANCE CONTROL CHAIN

CORPORATE GOVERNANCE CONTROL CHAIN

CENTRAL FOCUS

3. CORPORATE GOVERNANCE CONTROL CHAIN

[1] DEFINE BOARD RESPONSIBILITY

[2] SEPARATE OVERSIGHT AND MANAGEMENT

[3] STRENGTHEN AUDIT INDEPENDENCE

[4] DISCLOSE MATERIAL INFORMATION

[5] RECORD CONFLICTS OF INTEREST

3. Corporate governance control chain

CORE CLAIM

- CENTRAL FOCUS
- 3. Corporate governance control chain
- [1] Define board responsibility
- [2] Separate oversight and management

MECHANISM

- [3] Strengthen audit independence
- [4] Disclose material information
- [5] Record conflicts of interest
- [6] Scrutinise related parties

CONSEQUENCE / LIMIT

- [7] Protect whistleblowers
- [8] Correct and report failure
- VERDICT → Structures matter because integrity needs authority, information and follow-up.
- ANSWER USE → Use for 2023 Q1(a) and governance reform.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: VERDICT → Structures matter because integrity needs authority, information and follow-up.

03

STAGE 03

CSR STATUTORY ARCHITECTURE

CSR STATUTORY ARCHITECTURE

CENTRAL FOCUS

4. CSR STATUTORY ARCHITECTURE

[1] TEST ANY ONE THRESHOLD

[2] APPLY TWO-PERCENT FORMULA

[3] CHOOSE SCHEDULE VII ACTIVITY

[4] APPROVE AND DISCLOSE POLICY

[5] CLASSIFY UNSPENT AMOUNT

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: VERDICT → Structures matter because integrity needs authority, information and follow-up.

03

STAGE 03 CSR STATUTORY ARCHITECTURE

CSR STATUTORY ARCHITECTURE

CENTRAL FOCUS

4. CSR STATUTORY ARCHITECTURE

[1] TEST ANY ONE THRESHOLD

[2] APPLY TWO-PERCENT FORMULA

[3] CHOOSE SCHEDULE VII ACTIVITY

[4] APPROVE AND DISCLOSE POLICY

[5] CLASSIFY UNSPENT AMOUNT

CENTRAL FOCUS

4. CSR statutory architecture

[1] Test any one threshold

[2] Apply two-percent formula

[3] Choose Schedule VII activity

CORE CLAIM

- CENTRAL FOCUS
- 4. CSR statutory architecture
- [1] Test any one threshold
- [2] Apply two-percent formula

MECHANISM

- [3] Choose Schedule VII activity
- [4] Approve and disclose policy
- [5] Classify unspent amount
- [6] Use correct transfer route

CONSEQUENCE / LIMIT

- [7] Assess qualifying impact
- [8] Separate spend from ethics
- VERDICT → CSR is a statutory floor for qualifying companies, not discretionary compliance.
- ANSWER USE → Use for 2022 Q6(b) and close-option facts.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: VERDICT → CSR is a statutory floor for qualifying companies, not discretionary compliance.

04

STAGE 04 UNSPENT AND IMPACT CHRONOLOGY

UNSPENT AND IMPACT CHRONOLOGY

CENTRAL FOCUS

5. UNSPENT AND IMPACT CHRONOLOGY

[1] 2013

S.135 FRAMEWORK

[2] 2019

UNSPENT ARCHITECTURE

[3] 2021

CENTRAL FOCUS

5. Unspent and impact chronology

[1] 2013: s.135 framework

[2] 2019: unspent architecture

[3] 2021: provisions operational

CORE CLAIM

- CENTRAL FOCUS
- 5. Unspent and impact chronology
- [1] 2013: s.135 framework
- [2] 2019: unspent architecture

MECHANISM

- [3] 2021: provisions operational
- [4] 2021: ongoing project defined
- [5] 2021: CSR-1 registration
- [6] 2021: impact mandate

CONSEQUENCE / LIMIT

- [7] 2022: cost cap revised
- [8] 2026: bounded SSE route
- VERDICT → Keep statutory creation, rule-level operation and later amendment claims separate.
- ANSWER USE → Use to prevent CSR chronology errors.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: VERDICT → Keep statutory creation, rule-level operation and later amendment claims separate.

05

STAGE 05 STAKEHOLDER AND SHAREHOLDER TEST

STAKEHOLDER AND SHAREHOLDER TEST

CENTRAL FOCUS

6. STAKEHOLDER AND SHAREHOLDER TEST

[1] IDENTIFY OWNERS' LEGITIMATE CLAIM

[2] PROTECT LONG-TERM ENTERPRISE VALUE

[3] IDENTIFY EMPLOYEE INTERESTS

[4] PROTECT CONSUMER SAFETY

[5] INCLUDE AFFECTED COMMUNITY

CORE CLAIM

CENTRAL FOCUS

6. Stakeholder and shareholder test

[1] Identify owners' legitimate claim

[2] Protect long-term enterprise value

MECHANISM

[3] Identify employee interests

[4] Protect consumer safety

[5] Include affected community

[6] Internalise environmental harm

CONSEQUENCE / LIMIT

[7] Consider future generations

[8] Give a weighted verdict

VERDICT → Profit remains legitimate but is constrained by rights, harm and durable trust.

ANSWER USE → Use for sustainability and product-safety cases.

CORE CLAIM

- CENTRAL FOCUS
- 6. Stakeholder and shareholder test
- [1] Identify owners' legitimate claim
- [2] Protect long-term enterprise value

MECHANISM

- [3] Identify employee interests
- [4] Protect consumer safety
- [5] Include affected community
- [6] Internalise environmental harm

CONSEQUENCE / LIMIT

- [7] Consider future generations
- [8] Give a weighted verdict
- VERDICT → Profit remains legitimate but is constrained by rights, harm and durable trust.
- ANSWER USE → Use for sustainability and product-safety cases.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: VERDICT → Profit remains legitimate but is constrained by rights, harm and durable trust.

06

STAGE 06 SERIOUS FRAUD AND WHISTLEBLOWING

SERIOUS FRAUD AND WHISTLEBLOWING

CENTRAL FOCUS

7. SERIOUS FRAUD AND WHISTLEBLOWING

[1] FRAGMENTED FRAUD INVESTIGATION

[2] NARESH CHANDRA 2002 PROPOSAL

[3] SFIO SET UP IN 2003

[4] STATUTORY BASIS IN S.211

[5] MULTIDISCIPLINARY INVESTIGATION

CENTRAL FOCUS

7. Serious fraud and whistleblowing

[1] Fragmented fraud investigation

[2] Naresh Chandra 2002 proposal

[3] SFIO set up in 2003

CORE CLAIM

MECHANISM

CONSEQUENCE / LIMIT

06

STAGE 06

SERIOUS FRAUD AND WHISTLEBLOWING

SERIOUS FRAUD AND WHISTLEBLOWING

CENTRAL FOCUS

7. SERIOUS FRAUD AND WHISTLEBLOWING

[1] FRAGMENTED FRAUD INVESTIGATION

[2] NARESH CHANDRA 2002 PROPOSAL

[3] SFIO SET UP IN 2003

[4] STATUTORY BASIS IN S.211

[5] MULTIDISCIPLINARY INVESTIGATION

CENTRAL FOCUS

7. Serious fraud and whistleblowing

[1] Fragmented fraud investigation

[2] Naresh Chandra 2002 proposal

[3] SFIO set up in 2003

CORE CLAIM

CENTRAL FOCUS

7. Serious fraud and whistleblowing

[1] Fragmented fraud investigation

[2] Naresh Chandra 2002 proposal

MECHANISM

[3] SFIO set up in 2003

[4] Statutory basis in s.211

[5] Multidisciplinary investigation

[6] Bounded s.212 arrest power

CONSEQUENCE / LIMIT

[7] SOX s.806 civil remedy

[8] SOX s.1107 criminal offence

VERDICT → Precision about institutions and remedies prevents attractive but false equivalence.

ANSWER USE → Use in corporate-fraud and whistleblower answers.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: VERDICT → Precision about institutions and remedies prevents attractive but false equivalence.

07

STAGE 07

INTERNATIONAL ANTI-CORRUPTION LAYERS

INTERNATIONAL ANTI-CORRUPTION LAYERS

CENTRAL FOCUS

8. INTERNATIONAL ANTI-CORRUPTION LAYERS

[1] UNCAC TREATY OBLIGATIONS

[2] INDIA RATIFIED IN 2011

[3] ADB-OECD COOPERATIVE PLAN

[4] NOT OECD CONVENTION MEMBERSHIP

[5] LENDER FINANCIAL CONDITIONS

CORE CLAIM

CENTRAL FOCUS

8. International anti-corruption layers

[1] UNCAC treaty obligations

[2] India ratified in 2011

MECHANISM

[3] ADB-OECD cooperative plan

[4] Not OECD Convention membership

[5] Lender financial conditions

[6] FCPA anti-bribery rules

CONSEQUENCE / LIMIT

[7] FCPA issuer accounting rules

[8] Domestic implementation needed

VERDICT → Treaty, cooperation, lending and extraterritorial law use different logics.

ANSWER USE → Use for global anti-corruption questions.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: VERDICT → Treaty, cooperation, lending and extraterritorial law use different logics.

08

STAGE 08

INTERNATIONAL AID ETHICS

INTERNATIONAL AID ETHICS

CENTRAL FOCUS

9. INTERNATIONAL AID ETHICS

[1] BEGIN WITH HUMAN NEED

[2] PRESERVE RECIPIENT OWNERSHIP

[3] TEST DONOR CONDITIONALITY

[4] AVOID TIED ADVANTAGE

[5] CREATE DUAL ACCOUNTABILITY

CORE CLAIM

CENTRAL FOCUS

9. International aid ethics

[1] Begin with human need

[2] Preserve recipient ownership

MECHANISM

[3] Test donor conditionality

[4] Avoid tied advantage

[5] Create dual accountability

[6] Prevent diversion

CONSEQUENCE / LIMIT

[7] Reduce dependency

[8] Build capacity and exit

VERDICT → Ethical aid enlarges local agency while retaining transparent use safeguards.

ANSWER USE → Use for 2023 Q1(b).

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: VERDICT → Ethical aid enlarges local agency while retaining transparent use safeguards.

09

STAGE 09

WAR AND ARMS-TRANSFER ETHICS

WAR AND ARMS-TRANSFER ETHICS

CENTRAL FOCUS

10. WAR AND ARMS-TRANSFER ETHICS

[1] RESPECT SOVEREIGNTY

[2] TEST LAWFUL RESORT TO FORCE

[3] DISTINGUISH CIVILIANS

[4] APPLY PROPORTIONALITY

[5] PROTECT NEUTRAL AID

CENTRAL FOCUS

10. War and arms-transfer ethics

[1] Respect sovereignty

[2] Test lawful resort to force

[3] Distinguish civilians

CORE CLAIM

CENTRAL FOCUS

10. War and arms-transfer ethics

[1] Respect sovereignty

[2] Test lawful resort to force

[3] Distinguish civilians

MECHANISM

[4] Apply proportionality

[5] Protect neutral aid

[6] Assess arms end use

[7] Check diversion risk

[8] Monitor and suspend misuse

CONSEQUENCE / LIMIT

VERDICT → Strategic purpose never removes civilian-protection and foreseeable-harm duties.

ANSWER USE → Use for 2020 Q8, 2022 Q5(a) and 2025 Q2(a).

CLOSE DISTINCTION: International ethics must separate state interest, international law,...

CORPORATE GOVERNANCE AND INTERNATIONAL ETHICS • TILE 3/4 • same master rows 5593-8827 of 11624 • continues below

CENTRAL FOCUS

10. War and arms-transfer ethics

[1] Respect sovereignty

[2] Test lawful resort to force

[3] Distinguish civilians

CORE CLAIM

- CENTRAL FOCUS
- 10. War and arms-transfer ethics
- [1] Respect sovereignty
- [2] Test lawful resort to force
- [3] Distinguish civilians

MECHANISM

- [4] Apply proportionality
- [5] Protect neutral aid
- [6] Assess arms end use
- [7] Check diversion risk
- [8] Monitor and suspend misuse

CONSEQUENCE / LIMIT

- VERDICT → Strategic purpose never removes civilian-protection and foreseeable-harm duties.
- ANSWER USE → Use for 2020 Q8, 2022 Q5(a) and 2025 Q2(a).
- CLOSE DISTINCTION: International ethics must separate state interest, international law,...

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: VERDICT → Strategic purpose never removes civilian-protection and foreseeable-harm duties.

10

STAGE 10

PRIVATE-INSTITUTION DILEMMA ROUTE

PRIVATE-INSTITUTION DILEMMA ROUTE

CENTRAL FOCUS

11. PRIVATE-INSTITUTION DILEMMA ROUTE

[1] STATE FACTS AND STAKEHOLDERS

[2] IDENTIFY CONFLICT OR SAFETY FLOOR

[3] DISCLOSE MATERIAL INTEREST

[4] RECUSE OR REFUSE CERTIFICATION

[5] PRESERVE RECORDS

CENTRAL FOCUS

11. Private-institution dilemma route

[1] State facts and stakeholders

[2] Identify conflict or safety floor

CORE CLAIM

- CENTRAL FOCUS
- 11. Private-institution dilemma route
- [1] State facts and stakeholders
- [2] Identify conflict or safety floor
- [3] Disclose material interest

MECHANISM

- [4] Recuse or refuse certification
- [5] Preserve records
- [6] Seek independent review
- [7] Remedy affected persons
- [8] Redesign incentives and controls

CONSEQUENCE / LIMIT

- VERDICT → Private ownership does not erase patient, consumer or fair-process duties.
- ANSWER USE → Use for Sneha, food and defective-product cases.
- EVIDENCE / AUTHORITY / APPLICATION LIMIT: Use named laws, UNCAC or treaty principles with...

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: VERDICT → Private ownership does not erase patient, consumer or fair-process duties.

11

STAGE 11

MAINS ANSWER SPINE

MAINS ANSWER SPINE

CENTRAL FOCUS

12. MAINS ANSWER SPINE

[1] DEFINE THE PRECISE ETHICAL LAYER

[2] STATE A QUALIFIED THESIS

[3] NAME THE GOVERNING MECHANISM

[4] USE EXACT LAW OR INSTITUTION

[5] APPLY AN INDIA-CENTRIC EXAMPLE

CENTRAL FOCUS

12. Mains answer spine

[1] Define the precise ethical layer

[2] State a qualified thesis

[3] Name the governing mechanism

CORE CLAIM

- CENTRAL FOCUS
- 12. Mains answer spine
- [1] Define the precise ethical layer
- [2] State a qualified thesis

MECHANISM

- [3] Name the governing mechanism
- [4] Use exact law or institution
- [5] Apply an India-centric example
- [6] Test the strongest limitation

CONSEQUENCE / LIMIT

- [7] Propose verifiable safeguards
- [8] Conclude with balanced duty
- VERDICT → High-scoring answers distinguish mechanisms before recommending an ethical balance.
- ANSWER USE → Use as the final theory and case-study checklist.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: VERDICT → High-scoring answers distinguish mechanisms before recommending an ethical balance.

E

EXTRA

SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT

1. ARCHITECTURE

2. CONCEPTS AND DISTINCTIONS

3. DETAILED TREATMENT

4. INSTITUTIONAL AND REFORM ARCHITECTURE

5. INDIAN APPLICATIONS AND BOUNDARY CASES

6. LIMITATIONS AND TRADE-OFFS

7. MUST-KNOW FACTS FOR ADVANCED PRELIMS

OPTIONAL SOURCE DEPTH

- 1. Architecture
- 2. Concepts and distinctions
- 3. Detailed treatment
- 4. Institutional and reform architecture

ADVANCED DEBATE

- 5. Indian applications and boundary cases
- 6. Limitations and trade-offs
- 7. Must-Know Facts for Advanced Prelims
- 8. Advanced Prelims traps

LEGACY / NUANCE

- 9. Current application
- 10. PYQ-based analytical application
- 11. Mains-ready framework
- 12. Probable questions

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.